UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2024/2025

MAY EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

THURSDAY, 29 MAY 2025 TIME: 2.00 PM – 4.30 PM (2.5 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONOURS)

Instructions to Candidates:

Section A: [Total: 40 marks]

ONE (1) question is compulsory and **MUST** be answered.

Section B: [Total: 60 marks]

TWO (2) questions **ONLY** to be answered.

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Section A: Answer ALL questions. (Compulsory) **[Total: 40 marks]**

Q1. (a) GlobalTech, a U.S based multinational corporation imports high tech equipment from Europe which is worth Euro (€) 500,000 and the payment is due in six months' time. At the same time, the company also exports to Japan and enters into a contract for Yen 600 million, payable by its Japanese customer in six months' time. Recently, the euro has been experiencing significant fluctuations due to geopolitical tensions, while the yen remained relatively stable. At the same time, GlobalTech has a subsidiary in Germany that reports its financial performance in euros. As the U.S. dollar strengthens, the parent company's consolidated financial statements reflect reduced earnings from the subsidiary. The company is considering various choices in order to hedge its foreign exchange exposure. Assume that GlobalTech has a cost of capital of 10% and currently has no cash surplus.

Exchange rates	**€/$**
Spot rate	0.9625-0.9630
6 months forward rate	152-150 basis points

Money market rates (% per annum)	**Borrow**	**Deposit**
Euro (€)	6%	4.5%
US dollar ($)	7%	5.5%

Required:

Calculate the US dollar ($) payment which GlobalTech will incur for the six month payable transaction if the company hedges foreign exchange risk on the:

(i) Forward market (6 marks)

(ii) Money market (6 marks)

(iii) Based on your calculations above, evaluate which is the best hedging technique for GlobalTech for the six months hedging and discuss the financial implications, risks, and other factors influencing the decision. (8 marks)

(b) Considering the potential **transaction exposure** that GlobalTech faces in this scenario, explain the factors that contribute to the risk and suggest strategies the company could use to mitigate this exposure. (12 marks)

(c) Discuss how **translation exposure** is affecting GlobalTech due to its German subsidiary by including an explanation of how exchange rate movements can impact consolidated financial statements and evaluate strategies to manage translation exposure effectively. (8 marks)

[Total: 40 marks]

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Section B: Answer TWO (2) questions only. **[Total: 60 marks]**

Q1. (a) Explain the strategic motives driving the decision to invest abroad and become a multinational corporation. (10 marks

(b) Omega Textiles, a UK-based company, is expecting a significant payment in U.S. dollars in three months. Concerned about potential fluctuations in the GBP/USD exchange rate, the company is considering two strategies to manage its currency risk.

Hedging: Locking in a fixed exchange rate through a forward contract.

Speculation: Waiting until the payment is received and converting the currency at the prevailing spot rate.

(i) Explain the concepts of speculation and hedging in the context of managing currency risk. (4 marks)

(ii) Discuss the potential advantages and disadvantages of each strategy for Omega Textiles. (6 marks)

(c) Assume that the export price of a Toyota Corolla from Osaka, Japan is ¥2,150,000. The exchange rate is ¥87.60/$. The forecast rate of inflation in the United States is 3.4% per year and is 0.0% per year in Japan. Use this data to answer the following questions on exchange rate pass through.

(i) Calculate the export price for the Corolla at the beginning of the year expressed in U.S. dollars. (2 marks)

(ii) Assuming purchasing power parity holds, determine the exchange rate at the end of the year. (2 marks)

(iii) Assuming 100% pass through, calculate what will the dollar price of a Corolla be at the end of the year. (2 marks)

(iv) Explain the mechanisms that companies use to manage partial pass through of exchange rate changes. (4 marks)

[Total: 30 marks]

Section B (Continued)

Q2. (a) Micca Metals Inc. is a specialty materials and metals company located in Detroit, Michigan. The company specializes in specific precious metals and materials which are used in a variety of pigment applications in many other industries including cosmetics, appliances, and a variety of high tinsel metal fabricating equipment. Micca just purchased a shipment of phosphates from Morocco for 6,000,000, Moroccan dirhams (MAD), payable in six months. Micca's cost of capital is 14.00%.

Six-month call options on 6,000,000 dirhams at an exercise price of 10.00 dirhams per dollar are available from Bank Al-Maghrub at a premium of 2%. Six-month put options on 6,000,000 dirhams at an exercise price of 10.00 dirhams per dollar are available at a premium of 3%.

(i) Calculate the option hedge outcome in US dollar on its foreign exchange transaction exposure. (8 marks)

(ii) If the lowest cost is using forward hedge contract, explain when might the company considers using option hedge contract. (2 marks)

(iii) Discuss how a government might try to reduce a large and continuous current account deficit on the balance of payment and illustrate what impact such government action might have on a multinational corporation operating in the country concerned. (10 marks)

(b) Discuss how currency and interest rates swaps can be of value to the financial manager in these following scenarios:

(i) A company has a loan with a variable interest rate. Rising interest rates could increase borrowing costs. (2 marks)

(ii) A company operates in multiple countries and earns revenue in foreign currencies. Exchange rate volatility could reduce profits. (2 marks)

(iii) A company in one country can borrow at lower interest rates domestically but needs funding in another currency. (2 marks)

(iv) A company anticipates large future payments in a foreign currency. (2 marks)

(v) A financial manager wants to restructure existing debt to align with changing market conditions. (2 marks)

[Total: 30 marks]

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Section B (Continued)

Q3. (a) Discuss how a multinational corporation (MNC) with subsidiaries in multiple countries should approach its capital structure decision, particularly in terms of financing with debt and equity. Consider the impact of factors such as exchange rate fluctuations, differing tax laws across countries, and the financial risks associated with international operations in your answer. (15 marks)

(b) Larkin Corp, a U.S. MNC, is considering making a foreign capital expenditure in Egypt. The initial cost of the project is Egyptian pound (EGP)100,000. The annual cash flows over the four years economic life of the project in EGP are estimated to be 10,000, 15,000, 34,000 and 57,000. The parent firm's cost of capital in dollars is 9 percent. Long-run inflation is forecasted to be 2 percent per annum in the U.S. and 6 percent per annum in Egypt. The current spot exchange rate is EGP/USD = 50.34.

(i) Determine the NPV for the project in USD. (9 marks)

(ii) Assess other decisions that might affect the decision to undertake the project. (6 marks)

[Total: 30 marks]